

buying into an Indian bank, but what shape YES Bank will take as the Japanese giant’s influence grows.

THE NEXT PHASE

Change is already palpable. As YES Bank looks to create a universal banking franchise, it is expected to see a cultural shift. Two directors—Shinichiro Nishino and Rajeev Veeravalli Kannan—have joined from SMBC to guide the bank. On the other hand, India’s largest bank, State Bank of India (SBI), which had led YES Bank’s rescue, has pared its holding from 24% to 10.8%. The private equity player Carlyle exited this June.

Add to that the fact that Prashant Kumar, an SBI veteran who stabilised the bank over the past five years, completes his six-month extension as Managing Director & Chief Executive Officer next year. That leaves the field wide open for the Japanese bank to spread its wings.

Unlike private equity players, who look for aggressive growth and eventual exit, SMBC’s investment represents patient capital. The Japanese are known to take their time—but when they build, they build to last. The deal also facilitated 64-year-old Kumar’s first visit to Japan. He returned awestruck by how calm and respectful people were—speaking softly and following rules even in the busiest of places.

That experience is sure to reflect in YES Bank’s boardroom. With Japanese representatives already attending meetings, a new culture is set to emerge—one that values patience, strong governance, robust risk management, and a gradual approach to building businesses.

Founded in 2003, the then new-generation YES Bank rapidly grew under banking professional Rana Kapoor’s leadership, betting heavily on corporate loans, mostly to stressed companies. In a very short span, the bank emerged as one of India’s fastest-growing private lenders. That was until high non-performing assets (NPAs) accrued in the go-go years of the 2000s, falling prof-



RAJAN PENTAL
EXECUTIVE
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“Our retail banking strategy is consciously oriented towards high-quality, ROA-accretive products such as affordable housing, secured business loan, micro-LAP, and used-car finance”

its and governance lapses pushed it to near-collapse in 2020. Kapoor landed in jail, though he is out on bail now.

Wearied from the non-banking financial company (NBFC) collapse of the late 2010s, and concerned about the risk of a contagion, the RBI cobbled together a rescue mission with a consortium led by SBI. These banks stepped in as new shareholders under an RBI-supervised restructuring by infusing massive capital.

The management team that was brought in, led by Kumar, has been clinical in managing both sides of the balance sheet—assets and liabilities. There has been a strong focus on reducing risk by trimming concentration in the loan portfolio. Kumar has ensured a fair and balanced distribution of risk across segments, with large corporates accounting for 25–26% of the loan book (down from nearly 50% earlier).

“The reduction in the legacy weak credit book, which included the sale of the portfolio to JC Flower ARC in December 2022 besides gradual repayment, is largely complete. The new book created in the last five years has

TO REVIVAL

	FY22	FY23	FY24	FY25	
	2.3%	2.6%	2.4%	2.4%	
	13.9%	2.2%	1.7%	1.6%	Gross NPA
	3.2%	2%	3%	5.2%	
	0.4%	0.2%	0.3%	0.6%	Return on assets
	31.1%	30.8%	30.9%	34.3%	
	70.1%	73.1%	74.4%	71.3%	Cost to Income

ROE ANNUALISED; RETURN ON AVERAGE ASSETS
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